

Algebra 1

Unit 13

Lesson 2 Homework

Name _____

Date _____

Period _____

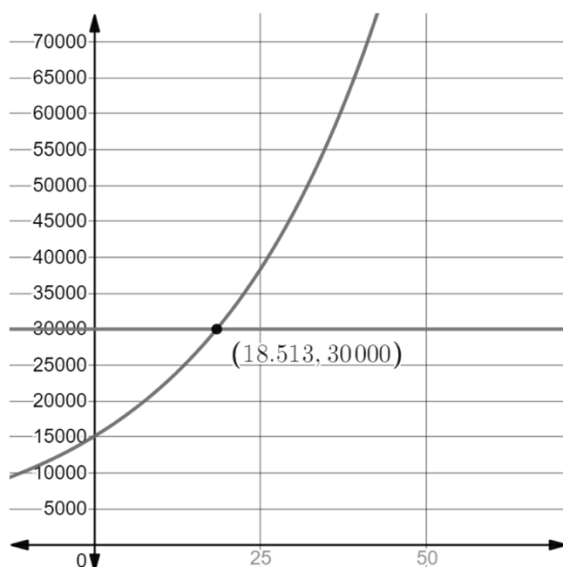
Lakita deposited \$15,000 in a savings account with a 3.75% APR compounded monthly.

1. Write an equation that models the amount of money Lakita has in the account.

2. What is the balance in the account after 10 years?

3. What is the balance in the account after 15 years?

4. Use the graph to determine when the savings account will reach \$30,000.



For questions 5-10, complete the table below.

	Simple Interest	Compound Interest
Investment amount and APR	\$100,000 is invested at an interest rate of 2.25% APR	\$100,000 is invested at an interest rate of 2.25% APR compounded monthly
Write the equation.	5. $A = P(1 + rt)$	6. $A = P \left(1 + \frac{r}{n} \right)^{nt}$
Determine the amount after 5 years.	7.	8.
Determine the amount after 25 years.	9.	10.